business growth slowed while the stock market exploded? How did the market and the economy diverge so much over the periods from 1964 to 1998?

The evidence is that valuation, rather than economic growth, determines investment returns at the market and country level. Research undertaken by Elroy Dimson, Paul Marsh, and Mike Staunton from the London Business School suggests that chasing growth economies is akin to chasing overvalued stocks, and generates similarly disappointing results.[14] In one study of 17 countries' stock markets going back to 1900, Dimson, Marsh, and Staunton found that there was a *negative* relationship between investment returns and growth in GDP per capita; in other words, higher GDP growth led to lower stock market returns. In a second test, they took the five-year growth rates of the economies and divided them into quintiles, or fifths. The stock markets in the economies with the highest growth rate produced average returns over the following year of 6 percent. Those in the lowest-growth quintile produced returns of 12 percent, double the returns of the high-growth economies. In a third test, Dimson, Marsh, and Staunton could find no statistical link between one year's GDP growth rate and the next year's investment returns. In each country, returns were either unrelated to short-term growth of GDP, or *inversely related*, which means that high growth predicted low returns, and vice versa.

Perhaps this is a phenomenon limited to developed economies and their stock markets, where growth rates have plateaued relative to emerging markets. Perhaps, but no. Other research extending Dimson, Marsh, and Staunton's findings to emerging markets, where presumably GDP growth rates are at their highest, finds the same relationship. Paul Marson, the chief investment officer of Lombard Odier, one of the largest independent Swiss private banks, examined the drivers of returns in developing countries over the period 1976 to 2005, and could find no correlation between GDP growth and stock market returns.[15] Commenting on Marson's research in its *Buttonwood* column, *The Economist* identified China as the classic example of this phenomenon; average nominal GDP growth between 1993 and 2009 was 15.6 percent, the compound stock market return over the same period was *negative* 3.3 percent. Buttonwood contrasted China's performance with "stodgy old Britain," which saw average nominal GDP growth of just 4.9 percent, but annual market returns of 6.1 percent—better than nine percentage points ahead of booming China. On his *Efficient Frontier* web site, author and American financial theorist William J. Bernstein observed that "[y]ou don't have to go cross-eyed with regression analyses to convince yourself; a few anecdotes tell the story:"[16]

> *During the twentieth century, England went from being the world's number one economic and military power to an overgrown outdoor theme park, and yet it still sported some of the world's highest*